Property Submarket Analysis Report

Executive Summary

5500 Grand Lake Dr is a 3-bed, 2-bath, 1,878 Sq.Ft. single-family home built in 1973 with a 175 monthly HOA. The for-sale market posts a median price of 240000.0 and median price per Sq.Ft. of 131.42, with a median of 102.0 days on market. The rental market shows a median rent of 1575.0 and median rent per Sq.Ft. of 0.98, with a faster median 41.0 days on market; 0.3964 of rentals lease within 30 days versus 0.1609 of sales. Based on market medians and the most comparable sales, the subject's estimated value is 259445.70 and market rent is 1829.17/month, supporting a gross rental yield of 0.0846 (GRM 11.8198). Area fundamentals include an occupancy rate of 0.9391, median household income of 71187, and positive 2025–2030 growth forecasts in population and households.

These figures point to a market where for-sale liquidity is moderate (median 102.0 days), while rental demand is stronger (median 41.0 days and 0.3964 listed $\leq$30 days). The subject's 1,878 Sq.Ft. living area positions it slightly above the median living area observed in sales and rentals, aligning with an estimated value above the 240000.0 median price and a rent above the 1575.0 median. The yield and GRM metrics are consistent with an income-forward profile in a submarket that combines broad listing depth with relatively tight occupancy and improving demographic trends.

For investors, the alignment of a 259445.70 value and 1829.17 rent within a market featuring 0.9391 occupancy and projected growth supports a constructive outlook. The primary opportunities lie in capturing rental velocity and leveraging median-to-above-median positioning within the 3-bedroom segment. Key considerations include the 1973 vintage and the 175 HOA, as well as the breadth of price-per-square-foot dispersion, which underscores the importance of accurate condition positioning and disciplined pricing.

Subject Property Overview

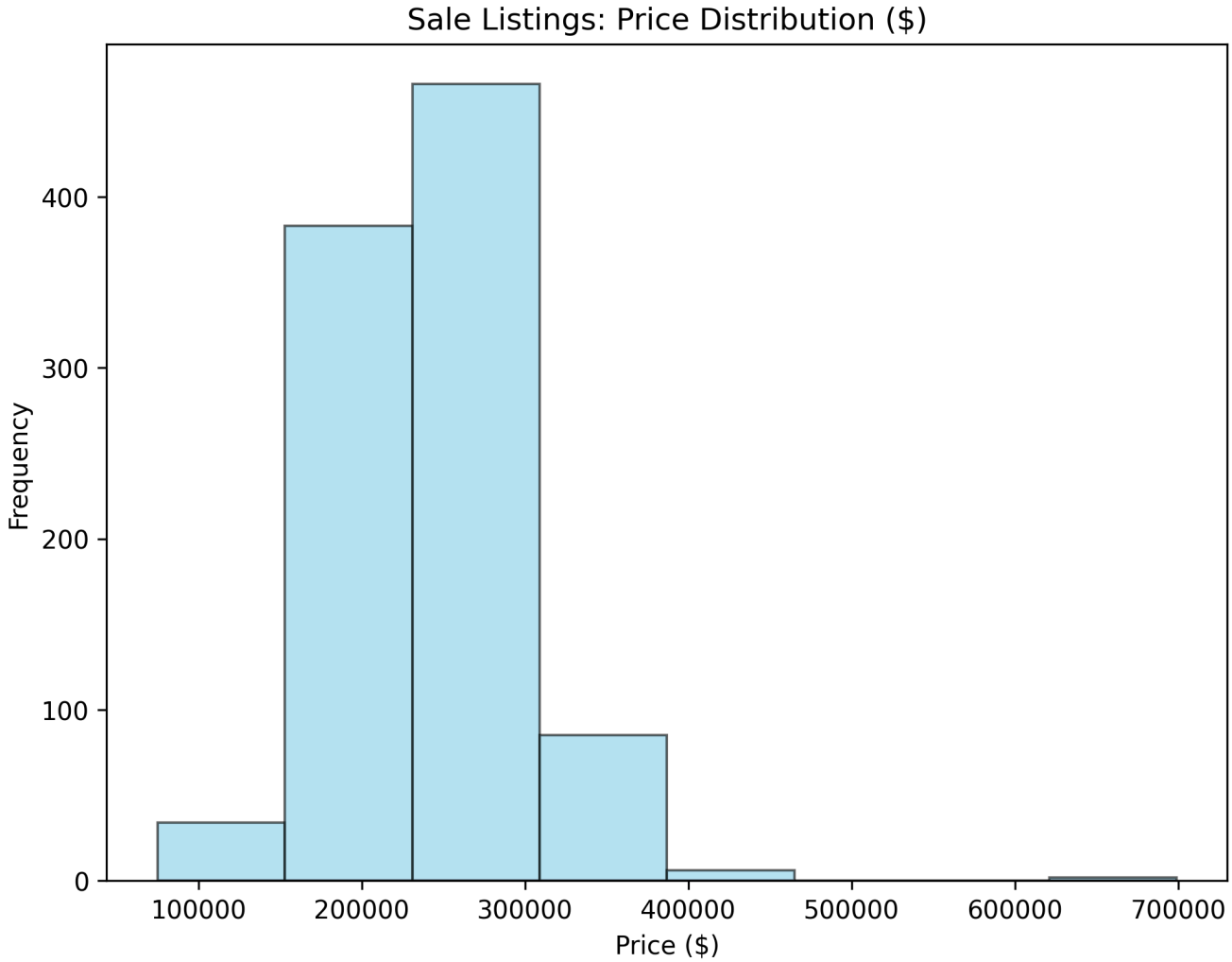
The subject property is located at 5500 Grand Lake Dr. It includes 3 bedrooms, 2 bathrooms, a 1878 Sq.Ft. living area, and an 8843 Sq.Ft. lot. Built in 1973, it carries a 175 monthly HOA fee. The last sale date is 2024-11-18T00:00:00.000Z with a last sale price of N/A. The owner name(s) are [Rolando Villarreal, Maria Teresa Loredo Villarreal], and the owner type is Individual.

Given its 1,878 Sq.Ft. size, the home sits moderately above the market's median living area, suggesting relevance for buyers and renters seeking larger 3-bedroom layouts. The 1973 vintage implies an older asset relative to some newer comparables, with potential for condition variability that can materially influence placement within the price-per-square-foot spectrum. The presence of an HOA at 175 per month adds to operating costs but may also indicate community amenities or standards that support marketability.

These characteristics suggest a marketing approach that emphasizes functional space and configuration within the 3-bed/2-bath segment. In sales, pricing should reflect condition relative to newer comps and the broader range of market PPSF, while in rentals, the larger-than-median size can support an asking level consistent with the low-1,800s range indicated by market benchmarks. The HOA consideration should be incorporated into underwriting and positioned against any neighborhood benefits it confers.

Sales Market Analysis

Sales Market Overview



The sales market comprises 976 total listings with a median price of 240000.0 and a median price per Square Foot of 131.42 (average 132.352695). Prices range from 75000 to 699000, and PPSF ranges from 51.25 to 269.9. The average and median living areas are 1926.059426 Sq.Ft. and 1814.0 Sq.Ft., within a 635 to 4876 Sq.Ft. span. Average days on market measure 190.314549 with a median of 102.0, ranging from 2 to 701 days.

The wide PPSF spread (51.25–269.9) indicates substantial variability by condition, location, and vintage, while the living-area clustering around 1,814–1,926 Sq.Ft. reflects typical product sizing. The subject's 1,878 Sq.Ft. sits near the center of this distribution, and the median 102.0 days on market signals balanced-to-slow absorption relative to faster rental turnover. The price distribution, shown in the histogram, confirms a broad market with meaningful mid-tier clustering.

For the subject, this landscape suggests that accurate condition staging and competitive pricing will be pivotal to achieving timely absorption. Given the breadth of PPSF outcomes, positioning near the median-to-above-median PPSF is supported by the subject's size match to the market core, with the final placement calibrated to its 1973 vintage and specific features.

Comparative Market Analysis (CMA)

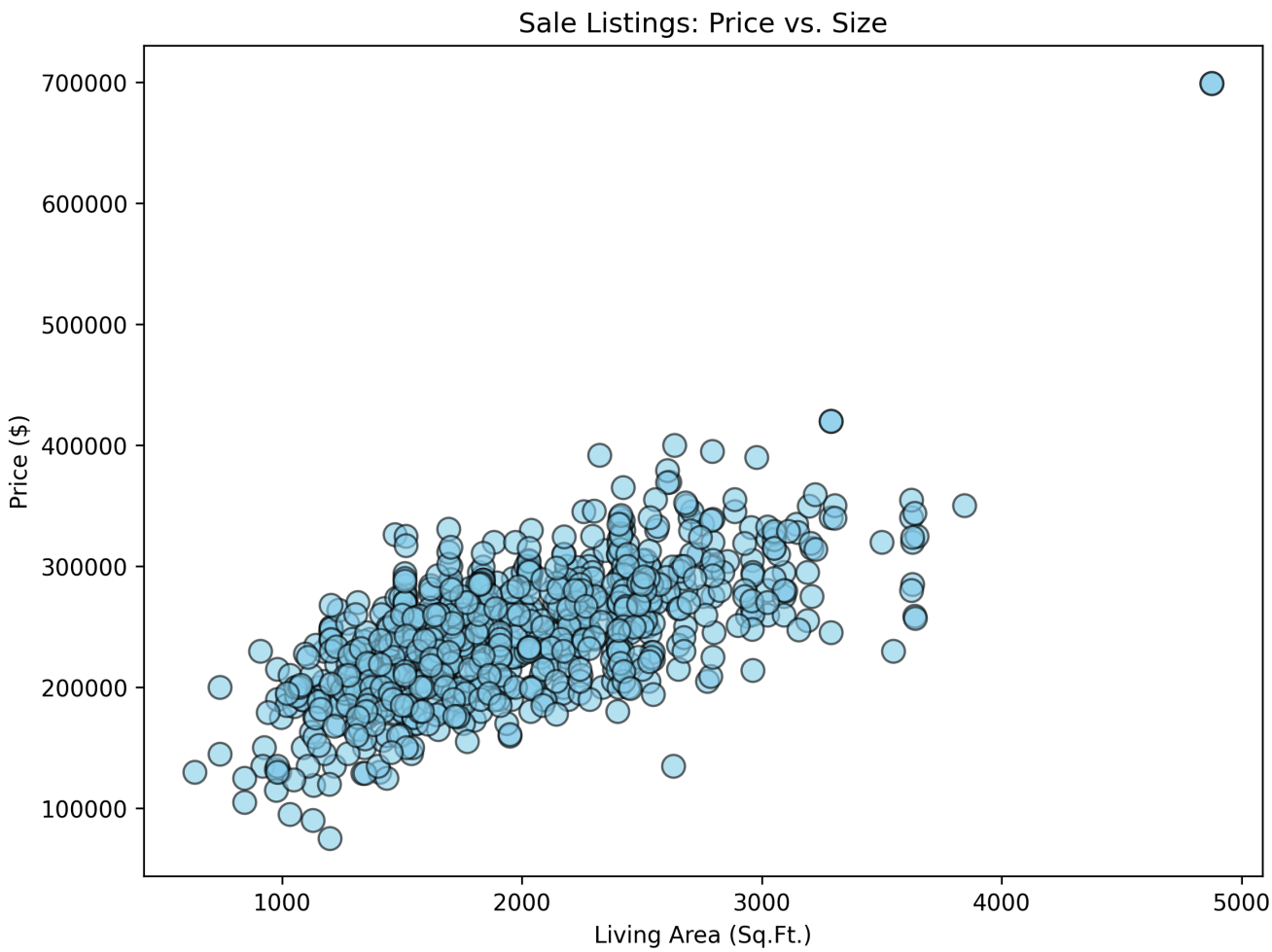
Address	Bedrooms	Bathrooms	Sq.Ft.	Vintage	Price	PPSF
7026 Elmbank	N/A	4.0	2442	1984.0	249000	101.97
7314 Putter	3.0	N/A	2466	N/A	249900	101.34
5500 Grand Lake Dr	3.0	2.0	1878	1973.0	205000	109.16
7207 Solar Eclipse	3.0	2.0	1883	2022.0	320000	169.94
6314 Bay Meadows St	3.0	2.0	1866	1979.0	276000	147.91

The selected sales comparables cluster around 3-bed and 2-bath configurations with living areas ranging from 1866 to 2466 Sq.Ft., and vintages spanning 1973 to 2022 where provided. Prices and price per square foot range from 249000 to 320000 and from 101.34 to 169.94, respectively, where available. Some comps have missing data fields, including bedrooms and vintage for 7026 Elmbank and bathrooms and vintage for 7314 Putter.

Interpreting the set, 7207 Solar Eclipse (2022.0 vintage) commands a notable PPSF premium at 169.94, demonstrating the impact of newer construction. The subject property's 109.16 PPSF sits above the low-100s comps and below the high-140s to high-160s trades, consistent with its older vintage and size alignment. Data gaps (e.g., N/A fields in 7026 Elmbank and 7314 Putter) make those specific comps somewhat weaker for precise adjustments, while 6314 Bay Meadows St and 7207 Solar Eclipse offer stronger like-for-like sizing.

Overall, the comp mix supports a valuation above the area's median PPSF baseline, with the most similar-size and complete-data comps exerting the greatest influence. Adjustments would typically reflect vintage, condition, and feature differentials, but even without detailed adjustments, the cluster suggests a mid-to-upper band PPSF for the subject relative to older inventory.

Value Estimate



The baseline value estimate using the median PPSF multiplies 131.42 by the subject's 1,878 Sq.Ft., yielding 246806.76. Using the average PPSF of the selected comps produces a comp-implied value of 259445.70. The price vs. size scatter plot illustrates the relationship between living area and pricing across the market.

The comp-implied value of 259445.70 modestly exceeds the median-based 246806.76, aligning with observations that close-size comps with newer vintages or upgraded condition transact at elevated PPSF levels. The subject's size—near the market norm—further supports anchoring to these central trend lines.

In practice, the comp-implied figure provides a defensible mid-range anchor while acknowledging variability tied to vintage and condition. Confidence is strengthened by multiple nearby-size comps, though missing fields in some records and the market's broad PPSF dispersion temper precision.

Valuation Sensitivity

The sensitivity range spans values from a minimum 96247.50 (based on 51.25 PPSF) to a maximum 506872.20 (based on 269.9 PPSF), with the comp-implied estimate centered at 259445.70. This reflects the wide PPSF dispersion observed in the market.

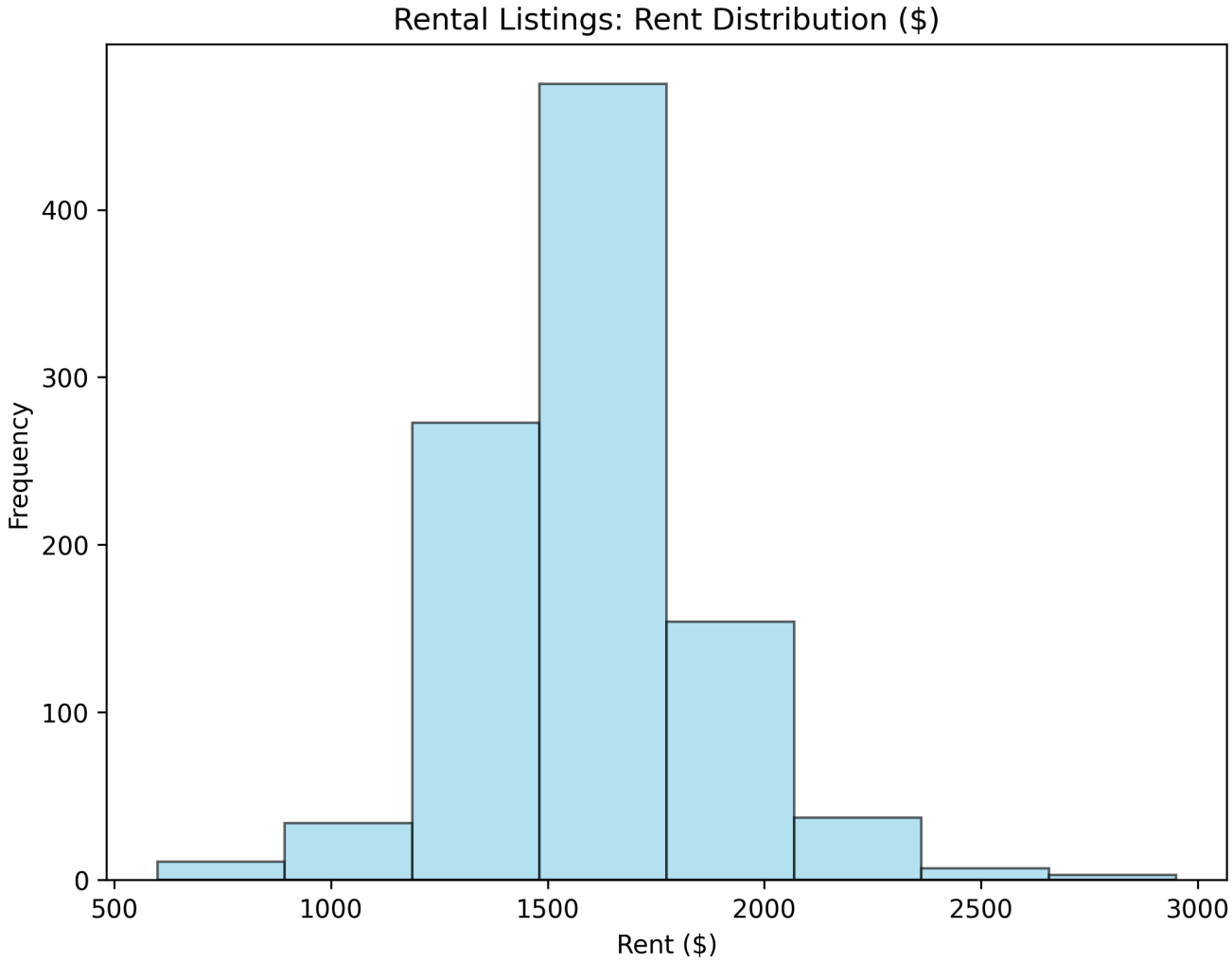
At the low end, values are indicative of outdated condition or inferior locations within the market's lower tail, while the high end represents top-tier renovations or newer construction achieving premium PPSF. Given its 1973 vintage, the subject is unlikely to align with the extremes without significant condition variance.

Strategically, this broad range underscores the importance of condition calibration and

pricing discipline. Sellers should balance ambition with market norms, while buyers can leverage dispersion for negotiation, using 259445.70 as a practical reference point.

Rental Market Analysis

Rental Market Overview



The rental market includes 994 listings with a median rent of 1575.0 and a median rent per Sq.Ft. of 0.98 (average 0.989543). Rents span 600 to 2950, and RPSF ranges from 0.29 to 2.21. Average and median living areas are 1703.268951 Sq.Ft. and 1620.0 Sq.Ft., within a 475.0 to 3647.0 Sq.Ft. range. The average days on market is 103.442516 with a median of 41.0, ranging from 1.0 to 1176.0 days.

These figures show strong rental depth and notably faster velocity than for-sale listings, with a median 41.0 days on market and a meaningful share leasing within 30 days. The median RPSF of 0.98, combined with clustering around typical 3-bedroom sizes, supports efficient absorption and consistent pricing bands.

For the subject, larger-than-median size enhances positioning within the 3-bedroom cohort and supports asking rents above the market median. The faster rental turnover reduces vacancy risk, suggesting a favorable environment for timely lease-up when priced in line with the indicated benchmarks.

Comparative Market Analysis (CMA)

Address	Bedrooms	Bathrooms	Sq.Ft.	Vintage	Rent	RPSF
5422 Verdugos Palace	3	2.0	N/A	N/A	1375	N/A
5731 Leon Pl	3	2.0	N/A	N/A	1445	N/A
7219 Golf Way	3	2.0	N/A	N/A	1295	N/A
7231 Golf Way	3	2.0	N/A	N/A	1250	N/A
7807 Horse Holw	3	2.0	N/A	N/A	1595	N/A

The rental comps mirror the subject's 3-bed/2-bath configuration, with asking rents from 1250 to 1595. Several fields are unavailable across these records, including Sq.Ft., vintage, and RPSF.

Interpreting the set, the rent cluster in the mid-1200s to mid-1500s corroborates the market medians for 3-bedroom homes. However, the absence of Sq.Ft. and RPSF limits precision when benchmarking a 1,878 Sq.Ft. home, as size differences could account for part of the rent spread within similar bedroom counts.

Consequently, while these comps substantiate demand and typical pricing bands for 3/2 configurations, the baseline and comp-implied RPSF methods provide a more scalable framework for the subject's size. Adjustments would be warranted if additional detail (e.g., interior condition, upgrades) diverges from typical market expectations.

Rent Estimate

The median-based estimate, using 0.98 rent per Sq.Ft. and the subject's 1,878 Sq.Ft. size, is

1840.44. The comp-implied estimate, using the average RPSF of selected comps, is 1829.17. The rent vs. size scatter plot provides context for how rent scales with living area.

Both approaches converge tightly, with a difference of approximately 11.27 between 1840.44 and 1829.17. This alignment suggests that a low-1,800s asking level is consistent with both market medians and comp signals, particularly for a 3-bed/2-bath home near the segment's typical size.

Operationally, this convergence supports a straightforward pricing strategy with minimal need for premium seeking beyond condition-driven adjustments. Marketing emphasis on timely occupancy can be balanced against modest optimization within the indicated range.

Rental Sensitivity

The estimated rent sensitivity ranges from a minimum 544.62 (based on 0.29 RPSF) to a maximum 4150.38 (based on 2.21 RPSF). These bounds reflect the market's substantial RPSF dispersion.

At the lower bound, rents correspond to atypical discounts or submarket outliers, while the upper bound represents peak pricing associated with top-tier finishes or highly competitive micro-locations. The 3-bedroom segment median of 1.000/Sq.Ft. (as shown in segmentation) anchors expectations near the 1840.44 baseline for a 1,878 Sq.Ft. home.

In practice, aiming near the 1829.17–1840.44 range balances pricing power with speed-to-lease. Owners can consider small concessions or slight premiums depending on condition and seasonality, with the primary objective of maintaining occupancy within the market's faster-moving rental environment.

Market Dynamics and Segmentation

Market Velocity

Sales days on market average 190.31 with a median of 102.0, a minimum of 2, and a maximum of 701. Rentals average 103.44 days with a median of 41.0, a minimum of 1.0, and a maximum of 1176.0. The share of sales listed ≤ 30 days is 0.1609, while the share of rentals listed ≤ 30 days is 0.3964.

This contrast highlights stronger near-term demand and higher liquidity on the rental side relative to sales. Faster leasing cycles reduce downtime risk and bolster cash flow reliability, while the slower for-sale cadence indicates a more deliberate buyer market.

For the subject, this implies that well-priced listings can lease promptly, supporting stable income targeting. In the event of a sale, expectations should accommodate longer marketing periods consistent with the 102.0-day median, informing holding cost planning and negotiation strategy.

Market Segmentation

Median sale PPSF by bedrooms is: 1-bed at 204.72, 2-bed at 140.29, 3-bed at 138.36, 4-bed at 116.61, 5-bed at 105.965, 6-bed at 123.71, and 12-bed at 143.36. Median rent PSF by bedrooms is: 1-bed at 0.745, 2-bed at 1.560, 3-bed at 1.000, 4-bed at 0.890, 5-bed at 0.765, and 6-bed at 0.560.

The subject's 3-bedroom profile aligns with a segment median of 138.36 PPSF and 1.000 RPSF. Its 1,878 Sq.Ft. size is modestly above the sale median (1,814.0) and well above the rental median (1,620.0), suggesting potential for above-median pricing within the 3-bedroom cohort, adjusted for condition.

These segment benchmarks frame marketing and pricing: emphasize size advantages for family-oriented tenants or buyers, align offerings to 3-bedroom expectations, and calibrate premiums based on upgrades that move the subject toward the upper end of the segment ranges.

Demographic and Economic Analysis

Growth Trends

The area has a total population of 13515 and total households of 4599. Historical population growth from 2020–2025 is -0.53 (%/yr) and historical household growth is 0.05 (%/yr). Forecast population growth for 2025–2030 is 0.33 (%/yr) and forecast household growth is 0.81 (%/yr).

These figures indicate a recent period of modest population softness and nearly flat household formation, transitioning to projected gains through 2030. The outlook suggests gradual demand stabilization and a return to incremental absorption after 2025.

For the subject property and its segment, the projected growth improvements support sustained occupancy and measured pricing power over the medium term. Portfolio planning can reasonably anticipate stability with modest tailwinds as households expand.

Economics and Affordability

Median household income is 71187 and per capita income is 31119. Future median income growth (2025–2030) is projected at 1.92 (%/yr). The unemployment rate is 5.6, with a Bachelor's degree share of 0.1818 and a Graduate/Professional degree share of 0.1132.

Income levels and projected growth point to steady purchasing power and rental affordability improvements over time. The education profile is meaningful, and unemployment at 5.6 indicates some slack but not acute weakness.

These conditions support ongoing rent and price resilience, enabling landlords to maintain competitive asking levels aligned with income trajectories. Caution is warranted if labor conditions soften, but the outlook is broadly constructive.

Housing Occupancy

Occupancy stands at 0.9391, with a vacancy rate of 0.0609.

This tight supply backdrop underpins pricing stability and reduces prolonged downtime risk. In combination with rental velocity, it signals favorable conditions for maintaining cash flow continuity.

For the subject, high occupancy supports confidence in lease-up at indicated asking levels and offers a buffer against short-term demand fluctuations.

Investment Analysis

The investment profile centers on an estimated value of 259445.70 and an estimated monthly rent of 1829.17. This combination yields a gross rental yield of 0.0846 and a gross rent multiplier of 11.8198.

An ~8.46% yield paired with an ~11.82 GRM indicates solid income strength for a single-family rental in this submarket. Given rental market velocity and occupancy, the income stream appears supported by underlying demand and segment-fit positioning.

Key considerations include the 1973 vintage and the 175 monthly HOA, which influence net operating performance and buyer underwriting. Within these parameters, the subject offers a balanced risk-reward profile anchored by market-consistent rent and value estimates.

SWOT Analysis

Strengths	Weaknesses	Opportunities	Threats
93.9% occupancy and 6.1% vacancy indicate a tight market	Older vintage (1973) vs. some newer comps	Forecast household growth +0.81%/yr (2025–2030)	Unemployment at 5.6% could temper demand
Rental velocity strong: ~39.6% lease within 30 days	Average sales DOM is high (190.3), slower liquidity	Median income growth forecast +1.92%/yr supports rent growth	Wide PPSF range (51.25–269.9) implies pricing volatility
Subject's size (1,878 Sq.Ft.) above median sizes in both sale and rent markets	Monthly HOA fee (175) adds to operating costs	3-bed segment medians (sale: 138.36 PPSF; rent: $1.00/Sq.Ft.) support estimates	Long-tail DOM risk (max sales DOM 701; rent 1176)

The strengths highlight tight occupancy, strong rental velocity, and a size advantage within the 3-bedroom cohort. These factors collectively support rental income continuity and align with the submarket's core demand profile.

Weaknesses center on the 1973 vintage, slower sales liquidity, and the HOA's operating cost impact. These can be mitigated through targeted improvements and price discipline, with marketing that emphasizes functional layout and condition readiness.

Opportunities lie in forecast household and income growth and segment-aligned pricing, while threats include unemployment risk, pricing dispersion, and long-tail days on market. Proactive condition management, conservative underwriting, and flexible leasing strategies can help balance these risks.

Conclusion and Recommendation

The market evidence supports a value near 259445.70 and rent near 1829.17/month for 5500 Grand Lake Dr, consistent with a gross rental yield of 0.0846 and a GRM of 11.8198. Valuation sensitivity spans 96247.50 to 506872.20, and rental sensitivity ranges from 544.62 to 4150.38, reflecting the market's broad dispersion in $/Sq.Ft. outcomes. Rental velocity (median 41.0 days; 0.3964 listed ≤30 days) and occupancy at 0.9391 provide a supportive backdrop for income stability.

Synthesizing these dynamics, the submarket's moderate sales liquidity and stronger rental momentum, combined with stable-to-improving demographic and income trends, point to a favorable operating environment for a well-positioned 3-bedroom home. The subject's

slightly above-median size aligns with segment norms that back both the comp-implied value and the low-1,800s rent range, contingent on condition and presentation.

Recommendation: Proceed as a rental-focused asset, targeting an asking rent in the low-1,800s and market-ready condition to offset vintage-related considerations. For a sale scenario, anchor pricing around the comp-implied estimate while accounting for absorption timelines consistent with the 102.0-day median. Further due diligence on condition relative to newer comps will refine both pricing and expected time-to-lease or sell.